MITSUBISHI HC CAPITAL CANADA

2025 Strategic Plan

Canada

Agenda

1. MHC Group Medium to Long-Term Management Direction
2. The Direction Mitsubishi HC Capital Canada is Taking
3. 2025 Financial Targets and Objectives

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MITSUBISHI HC CAPITAL CANADA

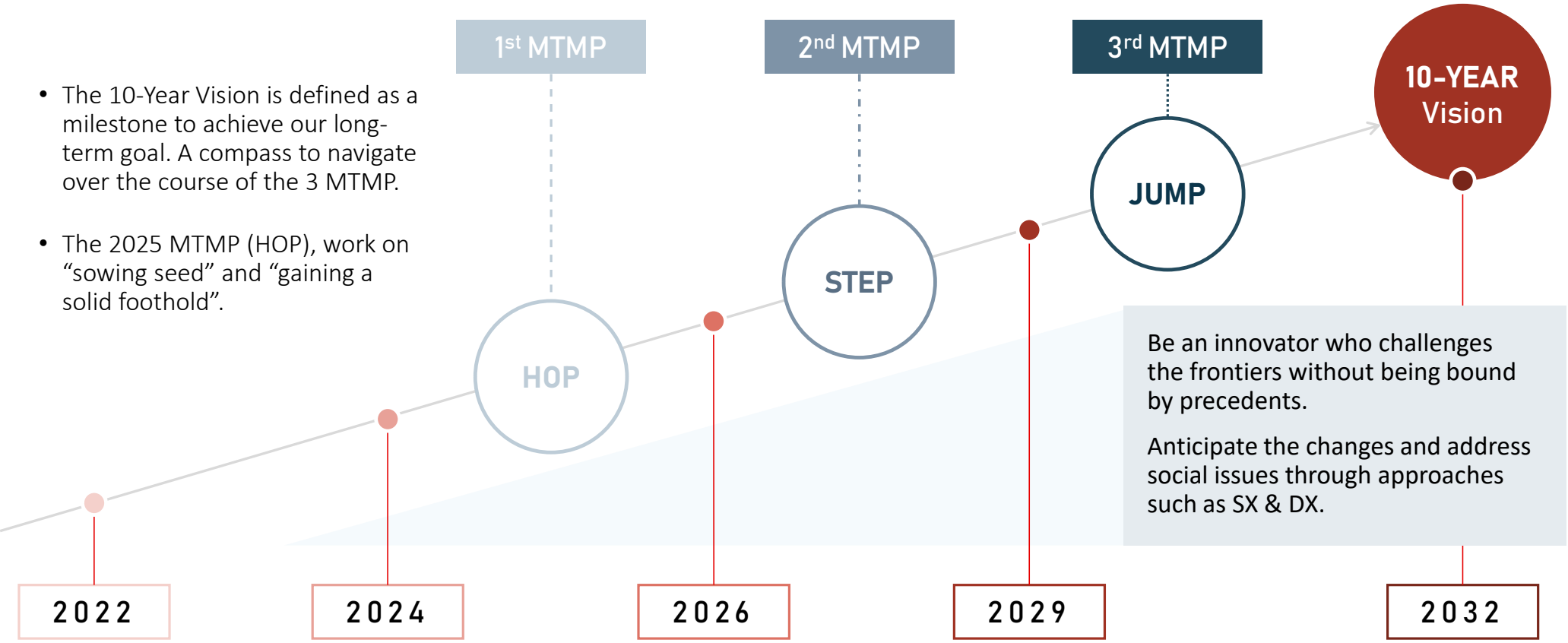
01

Mitsubishi HC Capital Group – Medium to Long-Term Management Direction

10-Year Vision– Mitsubishi HC Capital Group

Together we **INNOVATE**, **CHALLENGE** and **EXPLORE** the frontiers of the future.

- The 10-Year Vision is defined as a milestone to achieve our long-term goal. A compass to navigate over the course of the 3 MTMP.
- The 2025 MTMP (HOP), work on "sowing seed" and "gaining a solid foothold".



Be an innovator who challenges the frontiers without being bound by precedents.

Anticipate the changes and address social issues through approaches such as SX & DX.

Mitsubishi HC Capital Group - Medium to Long-Term Management Direction

SX / DX + Business Portfolio Transformation = CX

SX / DX

Sustainability Transformation

Achieve co-existence and co-prosperity with environmental and social value and sustainable growth through efforts for materiality (priority key challenges) and a solid management base.

1. Business strategies based on materiality
2. Strong corporate functions strategies that support sustainable growth
3. Building a relationship of trust with stakeholders (improving engagement)

Digital Transformation

Achieve creation and qualitative improvement of customer value by utilizing data and digital technologies and making strategic investments in a customer-oriented, future-oriented manner.

1. Developing and acquiring DX talent
2. Developing a base for DX frameworks
3. Building frameworks for aggressive DX
4. Developing new businesses

Business Portfolio Transformation

Portfolio Management

Withdraw decisively from businesses that will not contribute to enhancing corporate value in the future and optimize the business portfolio, thus achieving sustainable growth and medium- to long-term enhancement of corporate value.

- Review what our businesses should be like from a medium- to long-term perspective and promote new investments through strategic allocation of management resources.
- Evolve management with recognition of capital cost to create medium- to long-term returns.
- Pursue capital efficiency through balance sheet optimization with an awareness of the finite nature of management resources (including capital, funds, and talent).

Evolution and Layering of Business Models

1. Enhance profitability and efficiency of existing businesses
2. Shift existing businesses to high value-added services

Source: https://www.mitsubishi-hc-capital.com/pdf/english/investors2/library/various-reports/cr_en_2024.pdf

2025 Objectives – Mitsubishi HC Capital America

Building from our reorganization, MHCA will return to profitable growth

+ Full Product Suite
+ Enhanced Customer Experience
+ Expanded Markets
+ Synergies
+ Best Practices

Transitioning to Growth in FY2025

Our **objectives** for the next fiscal year and **how** they will be achieved

Stabilize the Platform

Stem / stop losses in historical transportation portfolio

Implement new credit models

Improve inventory monitoring and liquidation strategies

Enhance strategic risk oversight across the enterprise

Align as One North American Business

Move away from functional geographic silos

Evolve operations, credit policies, and processes to increase consistency across the business

Eliminate redundant activities and streamline operations

Reengage on Sales Execution and Asset Optimization

Drive growth mandate across MHCA, aligned with strategy to further diversify our business

Use more rigorous analyses to screen attractive markets and execute calculated, industry-focused sales strategies

Closely monitor sales effectiveness and other key indicators

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02

The Direction Mitsubishi HC Capital Canada is Taking

Building a Diversified, Resilient and Stable Portfolio

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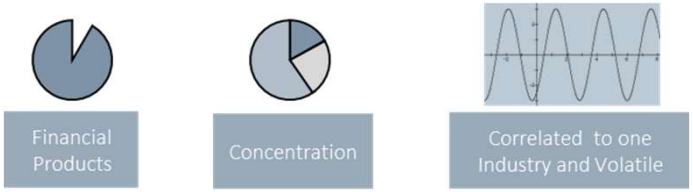
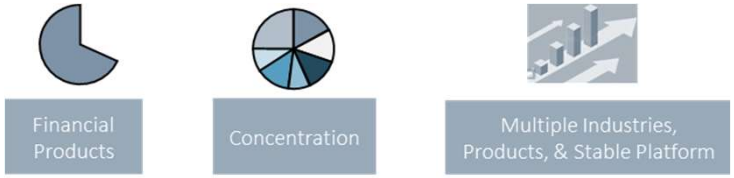
CURRENT STATE



- Operating as legacy Canadian business
- Portfolio primarily concentrated in one industry vertical (transportation)
- Subject to industry cyclicality that impacts predictability of performance
- Product offering primarily based on 1.0 solutions (capital leases and loans)
- Go-to-market approach based on dealership relationships and small ticket transactions
- Mainly targeting near & subprime customers

FUTURE STATE



- One Company: Strategic Alignment in North America
- Well diversified portfolio… lower concentration in Transportation
- Stable source of revenues to offset business that may be impacted by industry cycles
- Stable income producing and less volatile business
- Integrated, diversified and unique North American products offering
- Value creation through customer experience and increased agility
- Enhanced ROA

Canadian Transformation Strategy

Dual Approach to Growth

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Product Diversification

ABL

Senior Secured Cashflow Loan

FMV Lease + services

Dealer Owned Rental Fleet

Servicing platform and Private Label

EaaS

Diversified portfolio

Stable income producing and less volatile business

Value creation through unique products offering

Technology

Healthcare

Industrial

Agriculture

Industry Diversification

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Canada 2025 Strategic Objectives & Portfolio Mix Transition

Targeting $2.8B portfolio with $1,075MM in new business volume in FY25

- ✓ Redirecting origination resources to less volatile / non-transportation sectors
- ✓ Expanding through Commercial Finance and diversified industries (Technology, Industrial, ABL and Structured Finance)
- ✓ Pulling back on HD transportation volume, reducing segment from 43% to 19% of portfolio

Stabilize the Portfolio

Exited less profitable Transportation HD relationships (based on BDE, L2B, NBV and NI)

Involve the sales team in delinquent files over $100k to support the collection team

Maintain agility in transforming our business model (limit Transportation volume and execute the products and industry diversification strategy)

Drive Commercial Excellence

Lift the framework in place to ensure optimal sales force effectiveness (CRM, pipeline tracking, high-priority prospect coverage, KPIs measurement, training, etc.)

Use business intelligence and analytics to support new products and industries expansion

Leverage DX capabilities to enhance customer experience (ex: portal)

Execute the MTMP / Transformation Strategy

Diversify the business

Offer new value-added products

Enhance Customer Experience

Funding/liability Management

Leverage Key Growth Initiatives

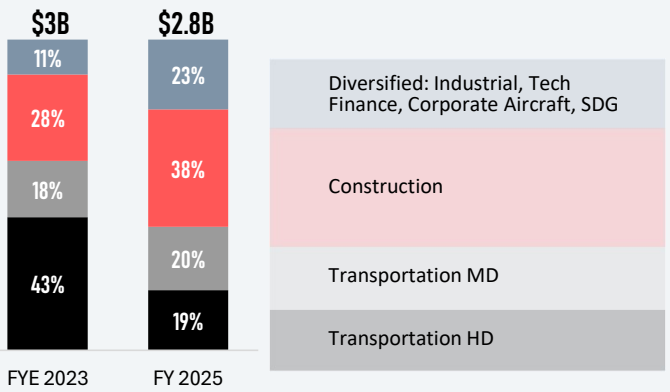
Establish a solid footprint in the ABL and Private Credit sectors

Grow and diversify the inventory finance platform through new markets expansion

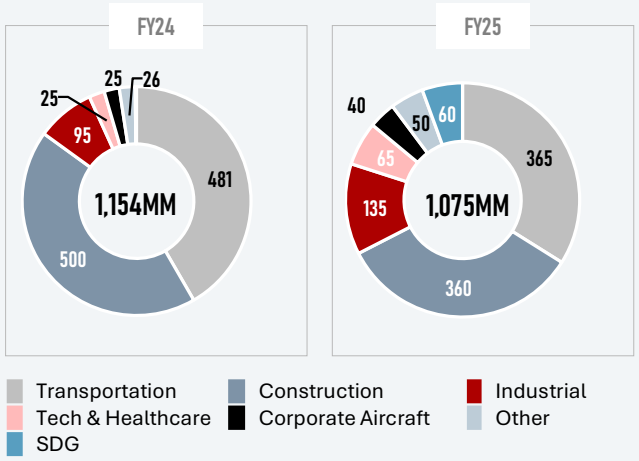
Create synergies and offer seamless solutions through the NA OEM COE

Capitalize on our new industry specific teams and maximize NA expertise

MHCCA Portfolio Evolution by Industry Segments



MHCCA New Business Volume by Industry Segments



New Canadian Sales Deployment

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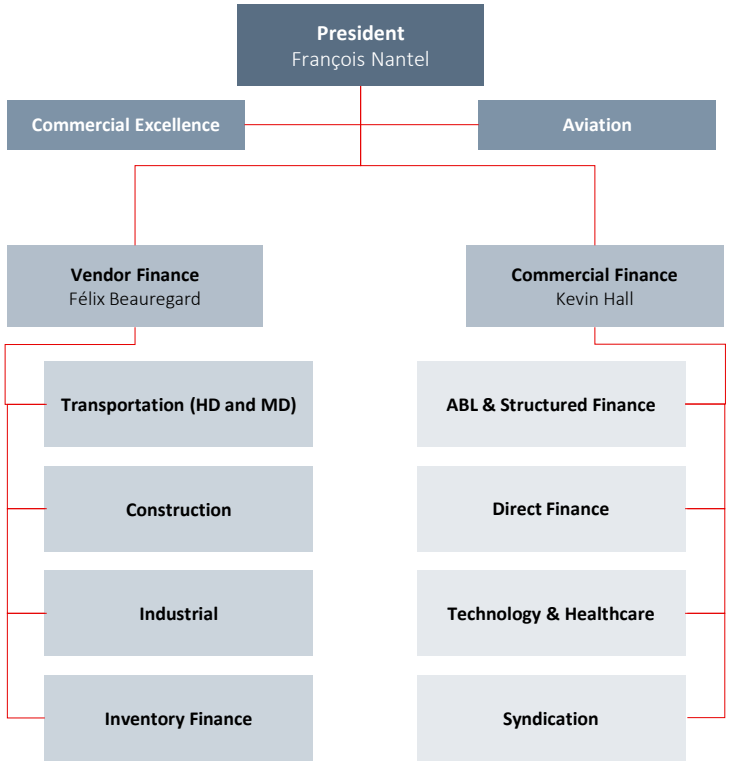
Canada recently grouped its Vendor activities under one segment and Commercial Finance activities under another.

This new structure is perfectly aligned with the U.S. It also optimizes existing resources and creates a structure conducive to transformation efforts.

From	To	Benefits
Structure by Geography	Structure by Segments (industries)	Increased synergies and alignment across North America, creating a unique value proposition in the market
Generalist Sales Force	Specialized Sales Force	Specialization and dedication of the sales force and development of expertise
Focus on Dealership Relationships	Creation of North American OEM Center of Excellence	Clear focus on portfolio diversification
3 Regional Vice Presidents	2 Segments Vice Presidents	Strengthening the brand awareness in new business segments

Deployment as of April 1st, 2025



Our Unique Value Proposition

We are delivering integrated solutions and premium services to partners across the industry value chain

One-Stop-Shop Approach

Comprehensive suite of integrated financing solutions, including capital and operating leases, inventory financing, and asset-based lending.

Industry Expertise

Market knowledge and expertise in various industries that guide credit decisions, which are based not only on the client, but also on the asset.

Tailored Financing for Diverse Credit Profiles

Ability to underwrite any type of credit risk, from start-ups to publicly traded companies, all supported by established credit scoring models.

Global Reach

Established presence and extensive network across both Canada and the United States and ability to partner up with OEMs from Canada, the US, Europe and Asia.

Agility and Responsiveness

Quick decision-making and flexible solutions customized to specific needs.

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MHCCA's go-to-market strategy is based primarily on partnerships with dealers/vendors as well as intermediaries (brokers, financial institutions). This strategy expands the origination channels to include OEMs and direct solicitation of larger customers.

Solutions	OEMs	Distributors	Dealers	End-Customers
Dealer/Vendor Programs	X	X	X	X
Retail Finance			X	X
Inventory Finance	X	X	X	
Asset-Based Lending		X		X
Factoring				X
Project/Structured Finance		X	X	X

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03

2025 Financial Targets

Financial Targets and Objectives

FY2025 Canada

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NEW BUSINESS VOLUME

$1,075MM

- Vendor Finance: $675MM
- Commercial Finance: $275MM
- Aircraft: $40MM
- Japan Desk Objective: $25MM
- SDG Objective: $60MM

BAD DEBT EXPENSES

$67MM

- 31+ Days Delinquency as of March 31st: 3.40%

PROFIT BEFORE TAXES AND INDIRECT SG&A

Break Even

- Gross Profit: $115MM
- Net Interest Margin: 3.75%
- SG&A-Direct: $51MM

ENDING ASSETS

$2.8B

- Equipment Finance: $2,440MM
- Inventory Finance: $295MM
- ABL & Struct. Finance: $67MM